

not help our national interest in any way, we are not in this business at all."

Guinea Bissau is typical of what many countries in Africa have become—a potent ground for coups. Current President Joao Bernardo Viera has had almost half a dozen coup attempts against him. Gomes had become prime minister in 2005, and on April 16, 2007, was forced to resign after he lost a vote of confidence in the National Assembly. According to Gomes, the votes of the National Assembly were manipulated, which led to his defeat.

However, opinion is divided in the Foreign Office. Some officials believe Vyas, who was earlier India's deputy high commissioner to Canada, couldn't have supported a regime change given her past record. But some say that because of commercial interest, the Indian envoy may have supported a particular firm. And when that did not happen, she worked to overthrow the government, as Gomes has alleged.

For India, these allegations can spell trouble considering it is in the process of developing close ties with Africa, besides seeking its support at the United Nations.

The tiny African non-aligned nation is also a member of the Organisation of Islamic Conference. But its economy is in a shambles. It remains one of the least developed nations in the world and is dependent on fishing and agriculture. There are some offshore petroleum reserves, which have attracted many companies on the lookout for potential business. Last year, the UN Security Council had also expressed concern at political stability in the country.

At the centre of the controversy is a \$25 million (Rs 100 crore approximately) contract under a concessional line of credit (LOC) for Guinea Bissau. This was extended under the \$500 million (Rs 2,000 crore) Team-9 initiative of the Indian Government, which entails providing concessional LOCs for infrastructure projects in nine West African countries. The credit is lucrative since apart from huge profit margins, the Indian exporters are at minimum risk as the entire money is paid to them by the Exim Bank after the project is completed.

BONE OF CONTENTION

ARISTIDE GOMES'S CHARGES IN A LETTER TO MANMOHAN SINGH, DATED JULY 2007

Dr. Aristide Gomes
Former Prime Minister of
Republic of Guinea-Bissau

Dear Mr. Prime minister

Sub: Credit line for US \$ 25 Million extended to the Republic of Guinea-Bissau

Referring to the Mohan's letter, with the same subject above mentioned to Mr. Datal, Export Import Bank of India, Chief Manager, I would like to inform that:

As part of political instability in my country, I regretfully inform you that I lost the office of prime minister of Guinea-Bissau on 16th April 2007 and the next day a new prime Minister has taken over. It was a indeed a pleasure working for the people of Guinea Bissau especially with the kind and compassionate concern the Government and the people of India have on us.

I felt in my bounden duty to confidentially inform you the role played by the Indian diplomats, possibly, in making and unmaking of political stability in the region in which my country has just born and developing, not on the ground of promoting your nation's interest but on venal grounds.

In case of my own removal as prime Minister of my country, I have strong reason to believe that the Excellency Ambassador of India posted in Dakar, Senegal who also looks after the affairs of my country, has a hand in dirty politics of my country which I am sure would not have anywhere the Indian Government's authorization. The Indian Ambassador has been urging me to freshly award the USD 25 Million contract for the Indian line of credit to one Mohan Energy Corporation Private Limited, who offered me a heavy amount for cancelling the contract already awarded to another entrepreneur.

I am privy to much information about the disquieting role of the businesspersons recommended by the Indian Ambassador in manipulating political structures and situation to his suit to gain commercial and economic advantages at the coast of political peace and tranquility in countries like ours. These same businesspersons, according to the letter I made reference, accusing me that, just before my office exit, in haste, after losing the confidence of the members of National Assembly, to awarded the contract to another com...

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■ In case of my removal as prime minister, I have strong reason to believe that the Indian ambassador has a hand in the dirty politics of my country.

■ The envoy has been urging me to freshly award the \$25 million contract and offered me a heavy amount for cancelling a contract.



“The allegations are baseless... I did not lobby for any company...he had asked me to expedite the LOC... there's political instability here.”

PARBATI SEN VYAS,
INDIAN AMBASSADOR TO SENEGAL AND GUINEA BISSAU

According to the terms of LOC, while the Indian Government approves the projects, the foreign governments select a company as they are required to source 85 per cent of goods and services from an Indian firm. The credit is at an interest rate of almost 1.8 per cent with concessional repayment term of 20 years, out of which there is a moratorium clause of five years.

Gomes writes that the LOC, allotted in 2006, was awarded to a Chennai-based company and in January 2007, a contract was signed between the Foreign Minister of Guinea Bissau Antonia Isaac Monteiro and the Exim Bank for an electricity project of \$10 million (Rs 40 crore) and an agriculture project of \$5 million (Rs 20 crore). Gomes says he was pressured by the Indian envoy in February to award the contract to another Indian company. And when he didn't, the fall of his government was engineered. Mohan Exports, the Indian company named

by Gomes, did not respond despite repeated phone calls and a fax.

South Block sources say while Gomes's allegations will be investigated, the larger issue is that of transparency in the LOC policy of the Government. Questions are also being raised about some officials of the Exim Bank and how some Indian companies, in league with some Indian diplomats, have forced foreign governments to award contracts for monetary gains. Taxpayers' money is being siphoned off by corrupt officials and the country's image is taking a hit. This also compromises India's ability to leverage its aid for political and strategic gains when it is fighting a battle with China to retain its traditional foothold in Africa. While New Delhi needs to ensure that a transparent inquiry is conducted in the Guinea Bissau allegations, it's time to ensure that India's aid to Africa does not etch a saga of shady and dodgy deals. ■